RISK

Risk summary

Risk team [authors]

1-day VaR 99	1-day ES 99	Ex-ante volatility	Beta to MSCI World
1.51%	**1.76%**	**11.8%**	**0.32**
▲ +0.21pp vs 31 Oct	▼ -0.30pp vs 31 Oct	▲ +0.9pp vs 31 Oct	▲ +0.03 vs 31 Oct
Gross exposure	**Net exposure**	**Largest position**	**Drawdown from peak**
227.8%	**+17.7%**	**9.0%**	**-2.4%**
▲ +6.1pp vs 31 Oct	▼ -4.2pp vs 31 Oct	– unchanged vs 31 Oct · IND4 XX	▲ +0.7pp vs 31 Oct · max -5.9%

% of NAV unless stated; NAV £3.00m. Arrows: change since previous report; red = more risk, green = less.

Gross is back above its limit as TMT shorts grow; risk is concentrated in TMT

Gross rose 6pp to 228%, above the 200% limit, as TMT and Materials added shorts; net fell to 18%.

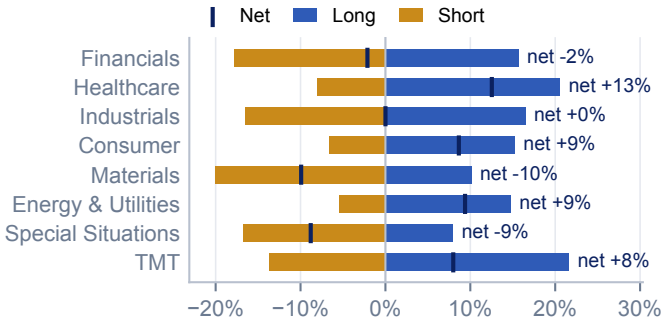
TMT holds 16% of gross but 25% of volatility: its two largest longs, both AI-capex names, top the VaR contributors and trade almost as one.

What we are watching:

- Gross breach: TMT and Materials PMs to reduce or justify.
- TMT earnings w/c 8 December.
- Momentum reversal if rate-cut expectations shift.

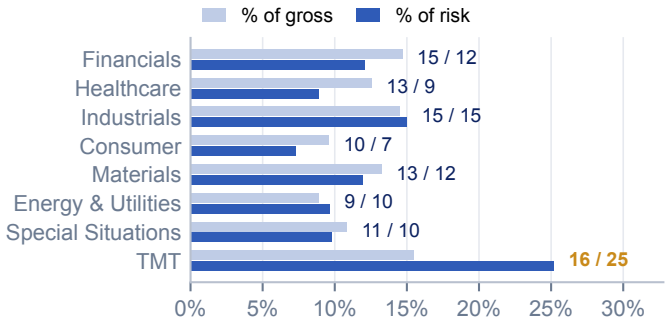
Exposure by team

Long and short, % of fund NAV; tick = net



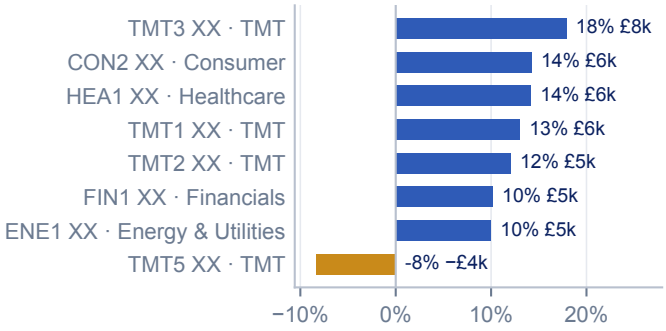
Risk by team

Share of gross vs share of ex-ante volatility (amber: risk well above capital)



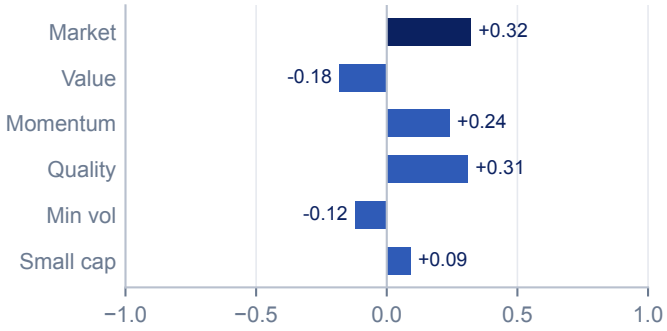
Top contributors to VaR

Top 8 positions, share of 1-day VaR99 (amber: reduces VaR)



Factor exposures

Fund betas to MSCI World and factor spreads, 2y weekly · R² 64%



Mandate checks

Limit	Actual	Limit	Status
Short % NAV	105.0	≤ 20	▲ Breach
Cash % NAV (guide)	N/A	5 to 10	No data
Position % team NAV · Industrials	71.7	5 to 20	▲ Breach
Names per team · Consumer	4	5 to 10	▲ Breach

Sensitivity tests

Sensitivity	% NAV	£	
MSCI World −10%	-3.2%	−£96k	via beta
UK 10y +100bp	-2.1%	−£63k	2y regression
US 10y +100bp	-1.4%	−£42k	2y regression
Worst day, today's book	-2.2%	−£66k	23 Nov 2026

Data: Bloomberg PORT and prices to 2026-11-30, GBP. VaR/ES: historical simulation, today's holdings over 1260 days; contributions scaled to sum to VaR. Ex-ante vol: 252-day covariance. Beta and factors: 104-week regressions. Team figures % of fund NAV; team limits use team NAV = fund NAV / 8. Only 42 days of fund history: drawdown is indicative. ILLUSTRATIVE DATA, NOT BIF HOLDINGS.

STRESS TEST

If 2022 happened again

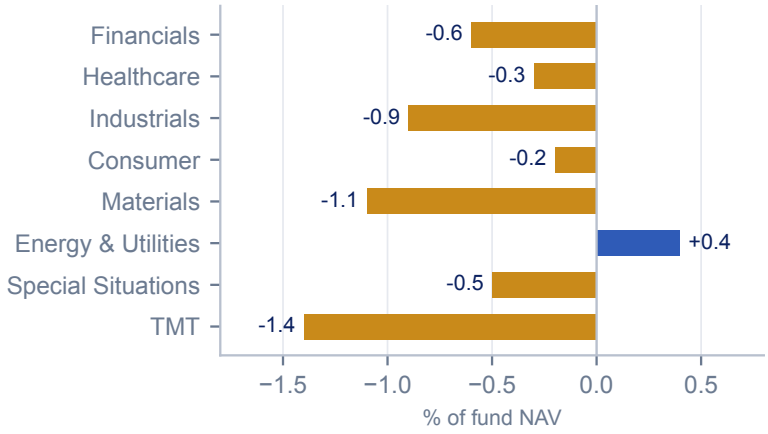
Risk team [authors]

We replay the first half of 2022, when UK and US 10-year yields rose about 150bp and long-duration growth stocks fell hardest, through today's holdings. It is the scenario our factor profile is most exposed to: long quality and momentum, short value.

Fund impact	Worst team	Positions covered	Worst single position
−4.6% NAV	**TMT**	**38 / 38**	**−0.9%**
−£138k on today's book	−1.4% of fund NAV	2 proxied (IPO after 2022)	TMT3 XX, long

Loss by team

% of fund NAV, H1 2022 replay



Why TMT and Materials lead the loss

The TMT longs are high-multiple software and semis that fell 30–45% in the replay; the shorts were cut back in October, so less offsets the longs.

Materials loses on the other side: its shorts are miners that **rose** in 2022 as commodities rallied.

Energy & Utilities is the only team that gains.

What the replay does not capture

- Borrow costs and recalls on the shorts during the squeeze: the simulator does not charge them.
- Two holdings listed after 2022 and use their sector index as a proxy.
- Positions are held fixed for six months; in practice PMs would trade.

Recommendation to TMT and Materials

Review whether TMT's duration exposure is intended: the team's longs account for 31% of the replay loss but 16% of gross. Materials: confirm the miner shorts are a deliberate commodity view, not a hedge. Responses by 14 December; logged as RA-07 and RA-08.

Illustrative. Shock: each position's actual GBP return from 3 Jan to 30 Jun 2022, applied to today's book (historical replay). Not a forecast or a maximum loss. S01 Bloomberg daily prices. ILLUSTRATIVE DATA, NOT BIF HOLDINGS.

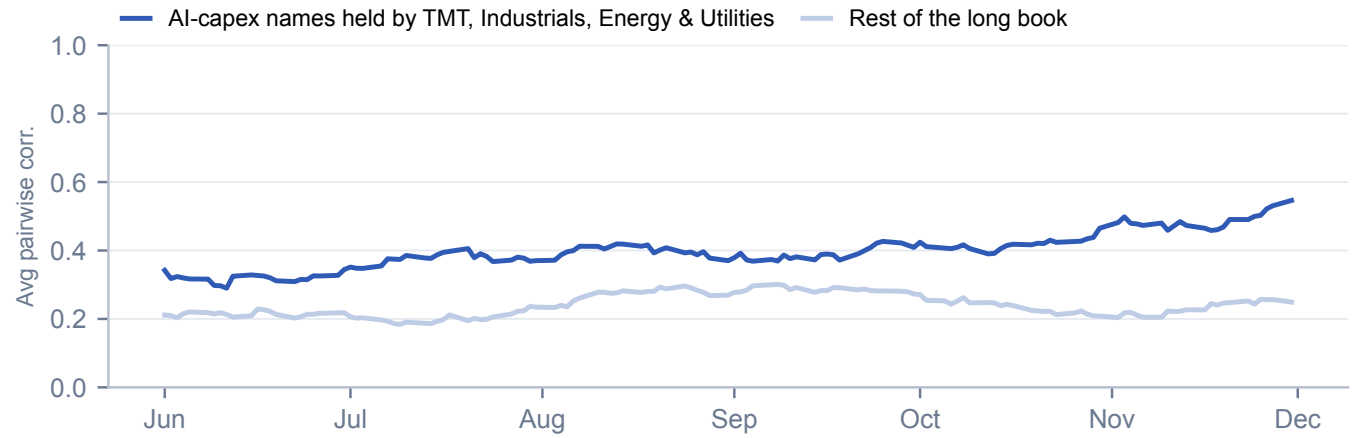
THEMATIC

One trade in three teams' clothing

Risk team [authors]

Crowding in the AI-capex theme

Average pairwise correlation, 60-day rolling



Three teams hold names whose story is AI data-centre spending: TMT through semis, Industrials through power equipment, and Energy & Utilities through grid operators. Each is inside its own limits. Together they make up 19% of gross, and since September they have traded more and more like one position.

Sector labels hide this. On the dashboard each team looks diversified; the correlation says they are not. On a day when the capex story is questioned, for example a hyperscaler cutting guidance, all three teams fall together and the fund-level loss is about twice what the team views suggest.

This is not a call to sell. The theme may be right. The question is whether the fund wants one bet of this size and whether anyone owns it as a single position.

Theme exposure	Long % NAV	Short % NAV	Share of VaR	Teams
AI-capex	24.1%	2.3%	34%	TMT, Industrials, Energy & Utilities
UK consumer	9.8%	6.2%	8%	Consumer, Financials
Rate-sensitive defensives	7.5%	11.0%	6%	Healthcare, Energy & Utilities

What would change our view

Correlation falling back below 0.4 for a month, or the three teams' names diverging on earnings.

Question for the CIO

Should there be a cap on any single theme across teams, like the 30% subsector cap in the strategy?

Note: themes are tagged by the Risk team from company disclosures; tagging is judgement, not a data feed.

Illustrative. Correlation: 60-day rolling average pairwise correlation of daily GBP returns. S01 Bloomberg daily prices, to 30 Nov 2026. ILLUSTRATIVE DATA, NOT BIF HOLDINGS.